barefoot or sick. But villages were small and their economies limited, so there could be no full-time shoemakers and doctors.

The rise of cities and kingdoms and the improvement in transport infrastructure brought about new opportunities for specialisation. Densely populated cities provided full-time employment not just for professional shoemakers and doctors, but also for carpenters, priests, soldiers and lawyers. Villages that gained a reputation for producing really good wine, olive oil or ceramics discovered that it was worth their while to specialise nearly exclusively in that product and trade it with other settlements for all the other goods they needed. This made a lot of sense. Climates and soils differ, so why drink mediocre wine from your backyard if you can buy a smoother variety from a place whose soil and climate is much better suited to grapevines? If the clay in your backyard makes stronger and prettier pots, then you can make an exchange. Furthermore, full-time specialist vintners and potters, not to mention doctors and lawyers, can hone their expertise to the benefit of all. But specialisation created a problem – how do you manage the exchange of goods between the specialists?

An economy of favours and obligations doesn't work when large numbers of strangers try to cooperate. It's one thing to provide free assistance to a sister or a neighbour, a very different thing to take care of foreigners who might never reciprocate the favour. One can fall back on barter. But barter is effective only when exchanging a limited range of products. It cannot form the basis for a complex economy.[4]

In order to understand the limitations of barter, imagine that you own an apple orchard in the hill country that produces the crispest, sweetest apples in the entire province. You work so hard in your orchard that your shoes wear out. So you harness up your donkey cart and head to the market town down by the river. Your neighbour told you that a shoemaker on the south end of the marketplace made him a really sturdy pair of boots that's lasted him through five seasons. You find the shoemaker's shop and offer to barter some of your apples in exchange for the shoes you need.

The shoemaker hesitates. How many apples should he ask for in payment? Every day he encounters dozens of customers, a few of whom bring along sacks of apples, while others carry wheat, goats or cloth – all of varying quality. Still others offer their expertise in petitioning the king or curing backaches. The last time the shoemaker exchanged shoes for apples was three months ago, and back then he asked for three sacks of apples. Or